

FIRSTBANK DIGITAL FACTORY

PRD: NovaLend Risk-Tiered Offer Screen

Product Owner: Marvelous Bolaji. O

1. Problem Statement

The NovaLend 30-day beta revealed a critical failure at the bottom of our funnel: a massive drop-off at the offer stage (66.1% abandonment) combined with an unsustainable default rate of 14% (against a 6% risk target).

This PRD outlines the comprehensive solution: a dynamic, risk-tiered offer screen that gives users bounded flexibility over their loan size and tenor, wrapped in a frictionless mobile UI, while utilizing backend risk cutoffs to protect the portfolio.

2. Core Funnel Bottlenecks

Based on the beta data and funnel diagnostics, the 66.1% offer abandonment rate and the 14% default rate are directly driven by three distinct structural bottlenecks in the current offer design:

- 1. Rigid, Flat Loan Amounts ("All-or-Nothing"):** The system currently offers a single flat principal. If an applicant only needs ₦20,000 for a specific expense but is solely offered a flat ₦50,000, they abandon the flow to avoid over-borrowing and paying unnecessary interest.
- 2. Inflexible Repayment Tenors:** Forcing every user into a single repayment window (e.g., a rigid 30-day cycle) ignores individual cash flow realities. Users whose salary or business cycles do not align with this fixed date reject the offer rather than risk a guaranteed late penalty.
- 3. Non-Risk-Adjusted Pricing (The Adverse Selection Trap):** Applying a flat interest rate across the board overcharges low-risk borrowers (driving our safest users to abandon the offer for better market alternatives) while undercharging high-risk borrowers (who eagerly accept the terms, actively driving our portfolio default rate up to 14%).

3. The Feature, In One Line

A dynamic, risk-tiered offer screen allowing users to adjust loan amounts and repayment tenors within approved boundaries, supported by real-time transparent pricing, backend risk cutoffs, and 1-tap decline-reason tracking.

4. Feature Breakdown

Component	Type	What it does	Ties to
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Risk-Tier Assignment Engine	Backend	Assigns verified users into score-band tiers (A, B, C) determining their max principal and interest rate.	US-6
Dynamic Amount Slider	Frontend	Allows users to drag-select principal between a floor and their tier-approved maximum limit.	US-1
Tenor Toggle Chips	Frontend	Selectable chips (e.g., 14 Days, 30 Days) bounded by the user's risk tier limits.	US-1
Real-Time Pricing Engine	Frontend + Backend	Instantly recalculates 'Total Repayment' and 'Due Date' as the slider or tenor changes.	US-2
Decline-Reason Feedback UI	Frontend	A 'Decline' button triggering 1-tap chip selections (e.g., 'Amount too low', 'Interest too high') to log abandonment reasons.	US-7
High-Fidelity Mobile UI	Frontend	Bottom sheet presentation utilizing Material Design 3 and gesture-conflict resolution.	US-4
Automated Offer Reminder	Backend / Comms	Holds pending offers for 48 hours; triggers push notifications at 24 hours to recover distracted users.	US-5

5. Design & Engineering Principles

- Post-Verification Tiered Pricing: Users see custom offers only after KYC verification establishes their risk tier, ensuring accurate limits.
- Bounded Flexibility on One Screen: Users customize loan sizes and tenors seamlessly without leaving the offer sheet.
- Flawless Gesture Handling: Built using @gorhom/bottom-sheet in React Native,

preventing inner list scrolling from collapsing the sheet.

- Visual Polish: Material Design 3 surface elevation, Apple glassmorphism styling, and Hugeicons Pro iconography.
- Fluid State Transitions: Driven by react-native-reanimated for smooth real-time fee recalculations.
- Regulatory Transparency: 100% visible fee breakdowns by default; zero hidden toggles.

6. User Stories and Acceptance Criteria

ID	User Story	Acceptance Criteria
US-1	As a verified applicant, I want to adjust my loan amount and repayment tenor within my risk-tiered limits, so that I borrow exactly what I need.	- Continuous slider for Amount bounded by tier max. - Chip toggles for Tenor bounded by tier max.
US-2	As an applicant, I want transparent fee breakdowns that recalculate instantly in real-time, so I am never surprised by costs.	- Full fee breakdown visible by default. - Total repayment updates instantly upon slider/toggle movement.
US-3	As a Risk Manager, I want high-risk applicants immediately cut off before receiving an offer, so NovaLend stops bleeding defaults.	- Backend strictly cuts off bottom quartile of credit scores with clean decline messaging.
US-4	As a mobile user, I want the offer bottom sheet to handle scrolling smoothly without closing accidentally.	- User able to scroll conveniently without friction or app closing
US-5	As a distracted user, I want a reminder notification about my pending offer before it expires at 48 hours.	- Automated push notification fired at 24 hours with deep-link back to the active offer.
US-7	As an applicant rejecting an offer, I want to quickly state why so the platform can offer better terms in the future.	- 'Decline' button triggers a lightweight feedback modal with 1-tap options. - Captures and logs exact friction points before closing.

7. Success Metrics

1. Reduce Default Rate: 30-day default rate drops from 14% to <=6%.
2. Increase Offer Acceptance: Offer acceptance rate rises from 33.9% to >50%.

3. Flexibility Utilization: >40% of users adjust the default slider or tenor before accepting.
4. Reminder Recovery: >15% of abandoned users return and disburse via the 24-hour reminder.
5. Feedback Capture: >70% of rejected offers successfully capture a decline reason via the new feedback UI.

8. Dependencies & Assumptions

- Compliance Sign-off: Transparent fee text must be approved by Legal prior to release to satisfy CBN guidelines.
- Assumptions: Assumes the existing alternative credit score is continuous and can be segmented into risk bands without a full Data Science model rebuild.